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July 23, 2014

STATEMENT OF WORK: E-LOCKER / CHARGE DADDY

CLIENT: TIBURON LOCKERS

Mr. Lowenthal,

Thank you again for the opportunity to present this statement of work to build the technology platform for your E-Lockers and Charge Daddy. After our recent discussions, I believe we have come up with an excellent technology option for Tiburon that will allow for great flexibility in hardware selection for your product lines.

Thank you for your time in reviewing this document. Additional questions can be directed to:

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OVERVIEW

Tiburon Lockers ("Tiburon") seeks to build the next-generation technology platform for its electronic locker products, including both the E-Locker and Charge Daddy systems. The platform will provide the foundation for these existing products, and serve as a rapid development framework for any new UI-driven applications that the company may develop in the future, such as coat check/parking apps, self-storage units, or other self-service systems.

In addition to the user interface and controller that drives the hardware devices, the Tiburon platform includes an administrative system for managing, installing, and updating devices in the field, and a cloud-based web application for users to interact with devices from mobile phones and tablets.

The new platform takes advantage of technology advancements such as single-board computers and HTML5 to provide greater flexibility for hardware selection, and to allow for code re-use between multiple system components. For example, the same user interface code can be used for the local kiosk touch-panels, web applications, and mobile smartphones/tablets. Systems can be maintained by developers familiar with standard web technologies such as HTML and JavaScript, leading to lower system build costs as well as lower ongoing support and maintenance costs.

Northgate Digital will provide client/server web and mobile systems development expertise for Tiburon to build the kiosk platform using an Agile development methodology, delivering a new version of the system every two weeks throughout the development cycle.

This project includes all requirements analysis, graphic and user interface design, web and mobile software engineering, quality assurance, and post-production services required to build the kiosk platform and provide post-delivery support. A prototype/demo version of the system is planned for **October, 2014** with new builds containing incremental improvements delivered every two weeks. The final production-ready release is planned for **November, 2014**.

To provide Tiburon with the most control over development time and cost, this project is split into two distinct phases: a short initial *Design Phase* to solidify project scope, followed by a longer *Development Phase* during which the system is built and delivered.

During the *Design Phase*, Northgate Digital will create a detailed technical design and system architecture for the kiosk platform, defining features and user interfaces for the system in detail. After the detailed requirements and acceptance criteria are defined, Northgate Digital and Tiburon will work together to create a development plan that fits within Tiburon's desired budget and timeline.

During the *Development Phase*, the Tiburon end-user applications and server systems will be designed, built, and tested on all target platforms and devices in accordance with the development plan. Systems are tested throughout the development lifecycle, with a full end-to-end system test following development.

This proposal provides an overview of these two phases along with Northgate Digital's capabilities, rates, service level agreements, company history, and related projects.



GOALS & OBJECTIVES

Simple, intuitive user interface

For use in a high-traffic, fast-paced retail environment such as venues and resorts, the user interfaces must be intuitive and streamlined, eliminating possibilities for error as the user completes each step, with clear instruction and easily-actionable buttons.

Security, regulatory compliance

The Tiburon platform and all of its applications must be completely secure, PCI DSS compliant, and built to ensure data confidentiality, integrity, availability and non-repudiation. Server systems are built to encrypt all data in transit, and one-way-hash all sensitive data prior to storage. Encryption key management is designed to prevent key loss or data loss in the event of a server breach.

Scalability

Because the Tiburon system is to be deployed as a cloud-based client/server system for use in a retail environment, it must be designed for high-availability, capable of horizontal scalability without requiring re-architecture or redesign of the server (cloud) or client (kiosk) systems. Although the initial release may easily run on a single server, the system must be designed and built to support clustering and distributed/cloud deployment, and must be capable of scaling to thousands of simultaneous transactions.

White-labeling, branding, internationalization

All user interfaces for the kiosk as well as administration tools must support simple, easy private labeling for venues. The system must also be built to support internationalization, including translation of all text, currency, number and date formatting, and right-to-left display support.

Hardware flexibility

Another key goal for the Tiburon system is to provide flexibility to use alternative COTS devices such as embedded Linux SOC, Android or iOS tablets to display the user interface and drive hardware.

No licensing or royalties

Unless otherwise requested in writing, all components of the Tiburon platform are to use open, non-GPL licensed code so the system may be built and operated without the need for any licensing or royalty fees. It is expected that the initial kiosk products may be built to use the Windows operating system. All servers will utilize open systems such as Linux, Apache, and MySQL or PostgreSQL.

Stand-alone operation

The kiosk system must continue to operate in the event of a loss of network connectivity or server outage.



TECHNICAL APPROACH

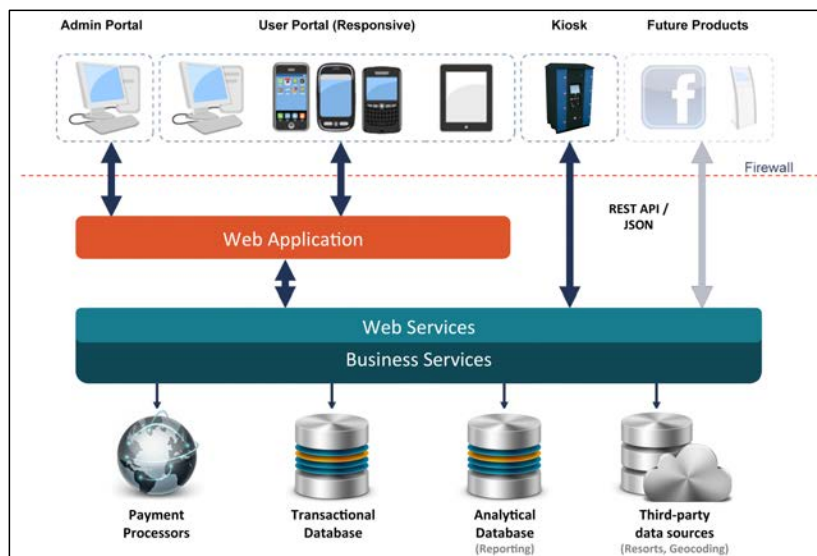
The Tiburon kiosk platform is designed as a high-volume client/server system with three client applications:

- **Kiosk:** The software displaying the UI and driving hardware on the product.
- **Admin portal:** A cloud/web application for managing and installing kiosks.
- **User portal:** A cloud/web application for users to interact with kiosks from their mobile devices.

The high-level design for these components is described here. During the design phase, the entire platform will be architected and designed in detail, and some of the information below may be subject to change once the technical architecture is complete.

Unless otherwise requested by Tiburon, all server applications are designed and built using open, free-license infrastructure such as Apache, Linux, Java/PHP and MySQL/PostgreSQL. This technology stack provides a mature, enterprise-grade technology platform with excellent high-availability/clustering features, massive commercial and community support, and no licensing fees or paid support required for any of the components. However, at Tiburon's option other technology stacks are also available for consideration.

Service-Oriented Architecture



To support multiple client applications and future expansion, the platform is built using a service-oriented architecture ("SOA"). This architecture decouples Tiburon's business logic (such as payment processing and floating rentals) from the user-



TECHNICAL APPROACH (CONTINUED)

facing applications, enabling the system to be easily expanded in the future to support additional products on the same platform. Should Tiburon choose to build additional products, such as an iPad app for coat checks or valet parking, only the user interface needs to be created, and that app can utilize Tiburon's existing business logic services.

As Tiburon's business grows and additional products or features are added, this service-oriented architecture can be readily extended to an enterprise service bus or other messaging-oriented middleware for even greater scalability. For example, integration with hotel or resort loyalty/stored-value cards.

Tiburon Server

The Tiburon server encapsulates the business logic for each product, including payment processing, device status reporting, geocoding, email/SMS notifications, and floating rentals. Service calls from client applications are made using secure sockets layer (SSL) to secure all data in transit. The exact functionality exposed by the server will be determined in conjunction with Tiburon by reviewing the company's requirements for disconnected device operation.

The Tiburon server itself is designed as a cloud-based system for maximum redundancy and capacity, and exposes functionality via REST web services. JSON is used as the transport protocol unless otherwise requested by Tiburon.

Tiburon Kiosk

The Tiburon kiosk software runs locally on each machine, serving the user interface, accepting user input, and driving hardware. The kiosk includes two separate user interfaces, the *customer interface* for customer user interactions, and an *admin interface* for local kiosk administration.

Both of these user interfaces are built using HTML5 and JavaScript for maximum portability. A custom look and feel, such as venue-specific branding can be added simply using CSS3 and loading new assets such as images, audio and video.

The choice of HTML5 is an important one, as it allows Tiburon the greatest flexibility in designing and manufacturing its product lines. Other candidate technologies are available for the kiosk such as Adobe Flash, Microsoft's WPF and Silverlight. However, none of the other candidate technologies provide full cross-platform support, such as for mobile devices and tablets. HTML5 is a cross-platform technology that runs on nearly any modern web-capable device, and is the standard that the technology industry is converging upon. Both Adobe and Microsoft are slowly phasing out their proprietary UI platforms in support of HTML5.

In addition, HTML5 development is simpler. Kiosk software can be easily tested in a standard desktop web browser such as Internet Explorer, Chrome or Safari, and can take advantage of a massive ecosystem of open source HTML5 and JavaScript plugins, libraries, and development tools.

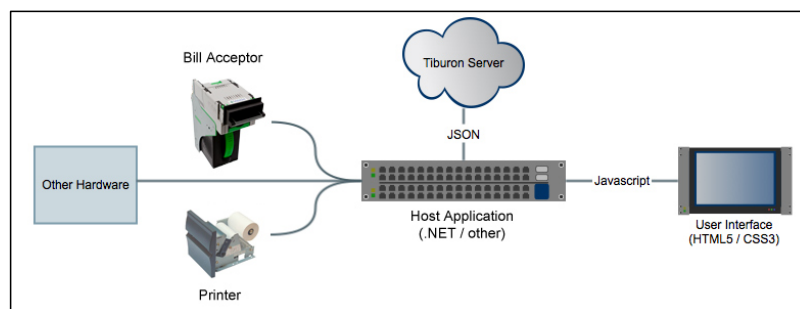
By using HTML5 and CSS3, venue-specific branding and look-and-feel is supported "out of the box". The UI is decoupled from the host application, therefore venue customization can go far beyond simply loading new images, audio and video onto the device. If desired, a venue can be offered a completely custom user experience and screen flow, splash screens with internet-based content such as weather, company news or venue-specific content (safety information, hours, videos).



Host Application

The “Host application” is the component of the kiosk that provides the user interface with hardware interfaces, acting as the “bridge” between the platform-independent HTML5 UI and any platform-specific inputs and outputs, external hardware devices, and the Tiburon server. This component is written in Java so it may be re-used on low-cost single-board computers such as the ARM-based Raspberry Pi. This component is what provides Tiburon with flexibility in both future system design and manufacturing / hardware sourcing.

The user interface communicates user events to the host application via standard web services and/or web sockets, which allows for complete customization of the UI without requiring any changes to the underlying hardware or software. Screens can be rearranged, modified, added or removed and will use the same API to communicate with the host application. Likewise, Tiburon can switch technology platforms (for example from Windows PCs to Android tablets) simply by writing a new HTML5 interface.



Customer Interface

The customer interface is a lightweight HTML5, CSS3 and JavaScript application that uses industry standard “Single Page Architecture” (SPA) techniques. As an HTML5 application, it can use any standard JavaScript and HTML5 frameworks for features such as animation, screen transitions, field validation. A JavaScript API is used for communication with the host application. All English text for the customer interface is stored in a separate file for ease of translation to other languages.

Admin Interface

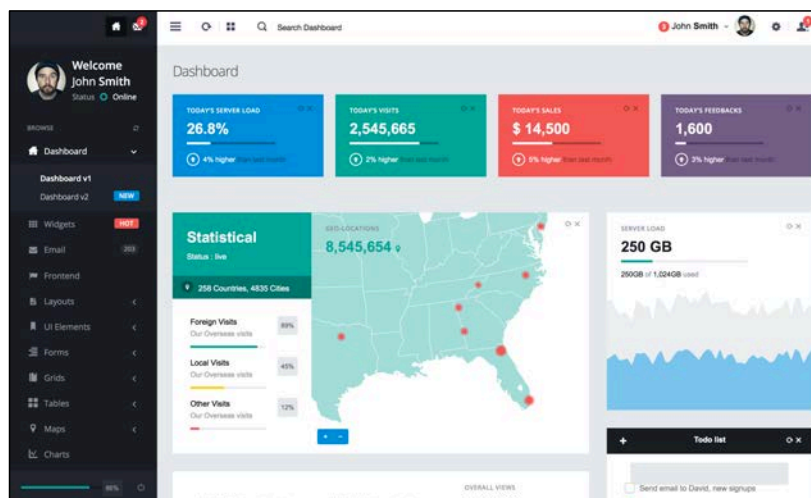
The admin interface is another lightweight HTML5, CSS3 and JavaScript application that uses a JavaScript API to interface with the host application. The admin panel is login-protected and allows an administrative user to open compartments for cleaning and access system settings, such as changing compartments, granting free rentals, and managing users. All English text for the admin interface is stored in a separate file for ease of translation to other languages.



TECHNICAL APPROACH (CONTINUED)

This system provides web-based tools for Tiburon staff to manage data used for configuring and administering kiosks. The admin portal consists of screens following the View, Create, Update, Delete pattern for data entry. An open source framework known as Cake PHP exists for rapid development of such administrative tools.

To build the Tiburon administration portal, the Cake PHP framework will be used configured for Tiburon. This solution can be deployed to either a Linux or Windows hosting environment, and can be used with any major RDBMS including SQL Server, PostgreSQL, Oracle and MySQL. Cake PHP allows the administration portal for Tiburon to be built quickly and cost-effectively, with the ability to view, create, update and delete venues, kiosks, compartments, kiosk settings, user accounts, and any other data used by the entire kiosk platform.



Sample Administrative Web Application based on Northgate's existing AdminPanel software.

Data Entry

The admin portal will allow system administrators to view, create, update and delete all system data including venues, compartments, kiosks and user accounts. Viewing data includes the ability to search, and specific searchable fields will be determined with Tiburon during the design phase.

Reports

In addition to managing data, the system provides reporting capabilities for any data that the user has permission to view. Reports support sorting, export to Excel/CSV, and pagination.

Permissions

The admin portal can support multiple permissions and user roles to control the data that each user can see or modify. Roles are data-driven and can be modified by



TECHNICAL APPROACH (CONTINUED)

Tiburon at any time via a web-based editor. All access to the system and its data is role-based, and each operation can be individually granted or denied to specific users or user groups.

Mobile Web Application

The Tiburon system includes a mobile web application that allows customers to interact with lockers from their mobile phones. Features will be determined the design phase with Tiburon, but may include GPS based geo-location and kiosk selection, QR code scanning, map view, rentals and receipts. Unless otherwise requested by Tiburon, the mobile web application will be built using the same technology stack as the administration web application, and developed using the Cake PHP framework for rapid development.

The mobile web application is built using responsive design, to adapt the user interface to both smartphones and tablets, and will be designed to work for all major device platforms including iOS, Android, and Windows. In the same way that the kiosk interface supports venue-specific customization, the mobile web application will also support custom branding for a specific client or venue via the use of CSS3 and custom assets.

Security

The mobile web app will be built for maximum security. Security-sensitive information such as PIN numbers or payment data will not be stored or cached on the device, and any access to view or modify sensitive information on the server will be re-authenticated after the device screen turns off, even if the current session is still active on the server. All data transmitted to and from the app will be transferred using SSL/TLS. Northgate Digital will review the security considerations and tradeoffs with Tiburon during the design phase, and at Tiburon's option the mobile web app can include additional security features such as jailbreak detection.

Ad Server

Because all user interfaces are built using HTML5, ads can be managed using any web-based ad server such as OpenX or Google DFP. These systems provide excellent support for managing ads, including contracts, ad rotation, and campaigns specific to a device, client, venue or product line. It is not recommended to build a custom ad server. Instead, these products and others like them will generate "invocation code", a small snippet of JavaScript that can be added to the user interface code anywhere an ad is desired. Ads are inserted dynamically, and can optionally be cached locally to the device for display even when the product is disconnected from the network.



TECHNICAL APPROACH (CONTINUED)

Responsive Design

All web applications and mobile apps use a technique known as "responsive design" to automatically re-flow the visual layout based on current screen size or browser dimensions. This enables the web applications and the mobile app to adjust their user interfaces for smartphones, tablets, and desktop browsers automatically, without building separate versions for each form factor. Specific features or UI elements can be enabled or disabled for each particular device or device category, such as enabling touch gestures or swipe left/right for tablets only.



Analytics

Every screen on the user interfaces will be pre-configured with built-in tagging for Google Analytics, for visibility into how many times particular screens were loaded or events were triggered, such as floating rentals, completions, and validation or device errors. This will help Tiburon not only reconcile usage reports, but will also enable Tiburon to measure and evaluate usability. This usability data can be helpful in designing more optimized user flows and selling ad placement.

At Tiburon's option Northgate Digital can integrate any other analytics platform such as Webtrends or SiteCatalyst.



DESIGN PROCESS

Northgate Digital begins every development project with a short design phase. During this phase, the goal is to refine the team's understanding of the business goals, requirements, and acceptance criteria. The visual design and system architecture are created in parallel. Once the visual design and system architecture are complete, Northgate Digital works in conjunction with Tiburon to develop a product plan and delivery timeline that fits within Tiburon's desired budget and timeline.

System Architecture

System Architecture

To guide design and development tasks throughout the project, Northgate Digital uses a process based on the TOGAF Architecture Development Method (ADM) to create the Tiburon system architecture and select the appropriate technologies for each component. This architecture becomes the "blueprint" for the overall system implementation, and is created using the following steps:

- 1. Define Project Vision & Scope**
Define and document the data, functionality and systems that are in and out of scope of the project.
- 2. Define Business Goals**
Itemize the current and future business goals for the application. Document the key user groups and the ways in which they interact with the application.
- 3. Technology Architecture**
Evaluate candidate technologies (i.e. Linux, PHP, Java) and select the optimal technical architecture of platform, frameworks, and other technologies to accelerate development and reduce cost while achieving the business goals. Review all third-party libraries, APIs and integration points to help identify any technology or schedule risks inherent in the project.
- 4. Identify Opportunities and Solutions**
Develop the overall implementation strategy, determining which systems will be bought or built, and describing how the overall system will be assembled and integrated.
- 5. Create Implementation Plan**
Develop a detailed plan to build each system, with prioritized tasks for the implementation. Refine the development estimate into a detailed timeline, resource allocation and quote for development.
- 6. Itemize Acceptance Criteria**
Define and itemize the acceptance criteria for the finished system. List all required and desired aspects of the final Tiburon platform.
- 7. Governance & Change Management**
Identify and agree upon how Tiburon and Northgate Digital will provide management and oversight of the implementation. Describe how development will be monitored and select an appropriate process for change control, scope and revision management.



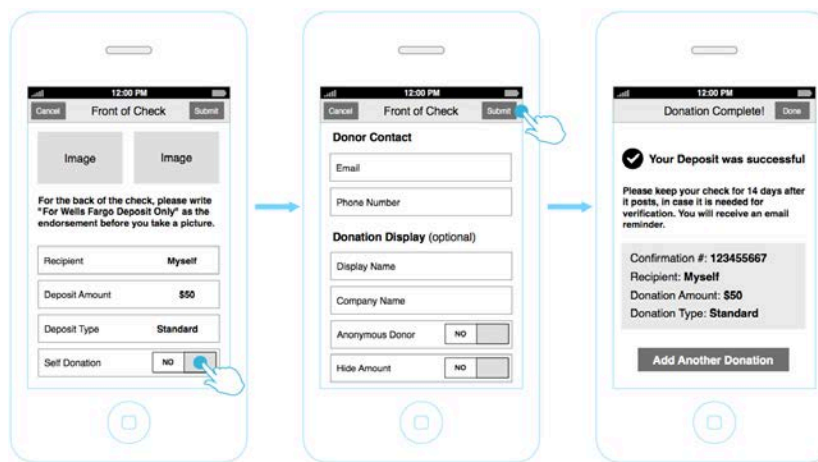
DESIGN PROCESS (CONTINUED)

Based on the system architecture, Northgate Digital will work with Tiburon to organize the user experience and look-and-feel for both the web and mobile applications to convey the Tiburon brand and maximize usability. An Information Architect will make recommendations to Tiburon on how to organize each application's navigation, features, and screens for maximum usability, SEO structure, and in keeping with best practices for user interface design.

Wireframes

The first design deliverable will be a series of "wireframes", a rough blocked-out diagram of each web application, kiosk interface and mobile app that Tiburon and Northgate Digital can use for discussion of how the applications will be organized and used.

Once all stakeholders agree on the wireframes, Northgate Digital will work with Tiburon to identify the target demographic for the applications, classifying users into "Personas" that reflect typical user groups. Based on these user personas, a Northgate Digital graphic designer will work in conjunction with Tiburon to create a look-and-feel that best reflects the Tiburon brand, and provides a clean, usable, and appropriate look-and-feel for the target demographic.



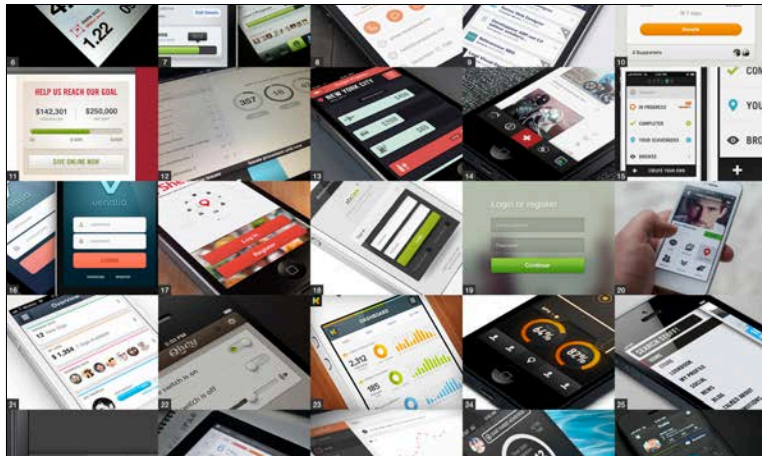
Sample Mobile Wireframe



DESIGN PROCESS (CONTINUED)

Mood Boards

Before beginning design, Northgate Digital will provide Tiburon with one or more "mood boards", collections of user interface designs and visual concepts that Tiburon can use to quickly review and convey visual styles, preferences and ideas for each application's look and feel prior to a full design taking place.



Sample Mood Board

Comps & Revisions

After the general visual style of each application has been identified via mood boards, the web site design will be created and applied to the wireframe to produce static design "comps" (mock-ups) showing how the final user interfaces will appear once development is complete. Tiburon is given an opportunity to review these design comps and make revisions to the interface look-and-feel before development begins.

Design assets will be provided to Tiburon in the form of layered PSD files that can be later modified by any other graphic design firm or resource.

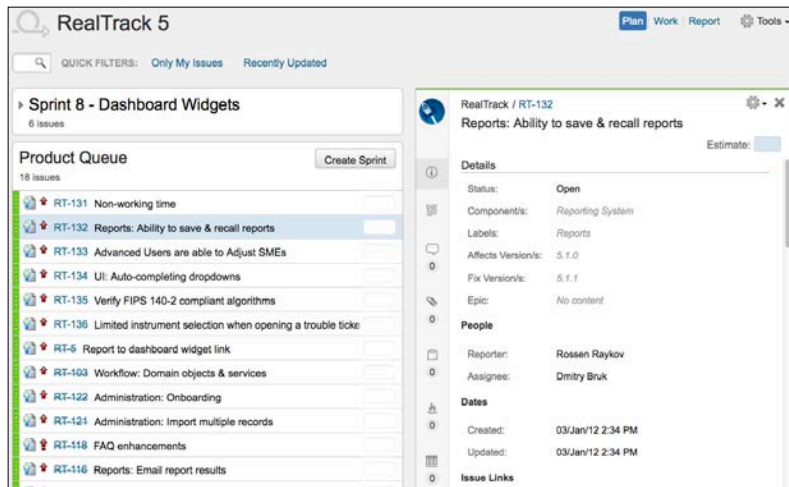
DEVELOPMENT PROCESS

Northgate Digital's Agile methodology for system development is designed to be completely transparent, and provide rapid results. Based upon short, two-week iterations known as "sprints", Agile development uses frequent communication between the programmers and Tiburon to ensure the system is developed in alignment with the business requirements.

Bi-weekly reviews of the system helps ensure that development stays on-schedule and that Tiburon's feedback is received often and integrated into the project early in the development cycle. Every two weeks a functioning version of the system is delivered with new features, and Tiburon selects the next set of features for the following two-week cycle. Through this iterative process, Tiburon receives a usable system faster, retains complete control over the end product, and enjoys a lower total cost of ownership.

Product Queue

Every Agile project begins by decomposing the desired system into its major components and features (pages, user interfaces, business logic). If any component or feature is estimated to take longer than two weeks, it is further decomposed into its sub-tasks until a master list of features is produced. This master list of features and changes is known as the "product queue". Access to the product queue is available via a web-based project management tool, shown below:



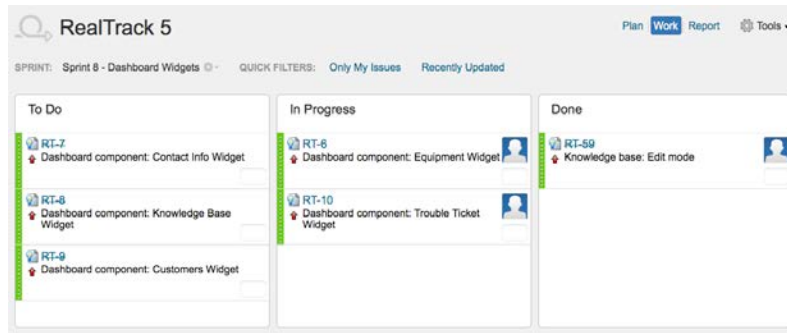


DEVELOPMENT PROCESS (CONTINUED)

Sprint Planning

At the beginning of each two-week sprint, Northgate Digital holds a planning meeting with Tiburon to review the product queue and choose the highest-priority items to complete during the upcoming sprint. New requirements may be added to the product queue, and items that are no longer needed or relevant are removed.

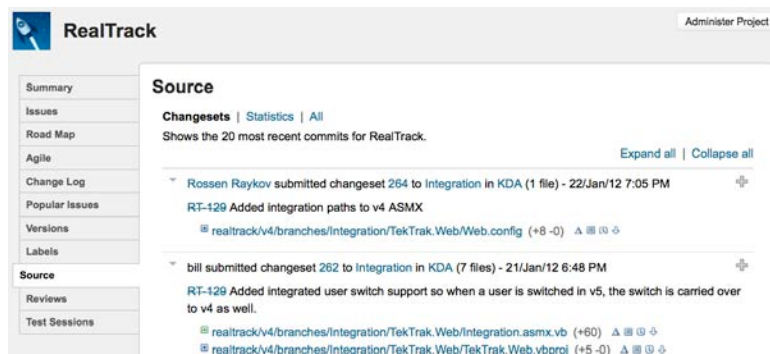
Each sprint is “time-boxed”, and during this two-week period Northgate Digital performs all necessary tasks to take the selected features from idea to reality, including browser testing and quality assurance. Every morning, a status meeting and conference call is held to review the current status of the sprint.



At the end of the sprint, a new version of the product is deployed to a test environment for Tiburon to review.

Version Control

All software changes are maintained in a version-controlled source repository such as TFS, Subversion or Git, and made available to the client at all times. This source repository is served from a SSAE 16 Type II certified datacenter with 24-hour video surveillance and electronic card-key or iris-scanning access control. In addition to direct access to the repository, Northgate Digital provides a web-based system for Tiburon's technical staff to review source repository activity:





DEVELOPMENT PROCESS (CONTINUED)

Quality Assurance

The Tiburon platform will be tested for proper rendering and functionality on all target platforms, including all major desktop browsers and iOS/Android tablets and smartphones. Testing will be performed using a combination of manual test cases and automated unit testing and system testing tools such as JUnit, LoadRunner, and Selenium. System testing will be performed at the end of each sprint to ensure quality throughout the development phase. At the end of the development phase, the entire platform and all applications will be end-to-end tested and revised until no defects remain.

All defects / issues are logged and tracked in a web-based issue tracking system to provide traceability and ensure no problems are overlooked. Tiburon will have access to this system at all times:

The screenshot shows a web-based issue tracking system interface. On the left, there are filters for 'My Open Issues', 'Reported by Me', 'Recently Viewed', 'All Issues', 'Favorite Filters', and 'Client Projects'. The main area displays a table of issues with columns for ID, Key, Summary, Assignee, Reporter, P, Status, Resolution, Created, Updated, and Due. The table shows 1-47 of 47 issues. The first five issues are listed below:

ID	Key	Summary	Assignee	Reporter	P	Status	Resolution	Created	Updated	Due
RT-171	Knowledge Base Folders aren't nesting properly after Security Integration	Bill Evans	Bill Evans			Open	Unresolved	25/Jan/12	25/Jan/12	
RT-170	TT widget: search not as precise as desired	Dmitry Bruk	Melanie Wilson			Open	Unresolved	25/Jan/12	25/Jan/12	
RT-169	Dashboard widget: chooser selections stacked on top of each other. Hard to see/use.	Bill Evans	Melanie Wilson			Open	Unresolved	25/Jan/12	25/Jan/12	
RT-168	Dashboard chooser widget: KD users are intermixed with customers.	Bill Evans	Melanie Wilson			Open	Unresolved	25/Jan/12	25/Jan/12	
RT-167	Dashboard Widget: you have to scroll to select users rather than being able to type to select	Bill Evans	Melanie Wilson			Open	Unresolved	25/Jan/12	25/Jan/12	

Product Completion

At any point, Tiburon may decide that each system in its current form is complete and production-ready, and may wish to create a production release candidate. For each production release candidate, Northgate Digital will "white-glove" the release, testing for proper function on all target platforms. As a time and materials engagement, this project is considered complete when Tiburon determines the platform is suitable for release and the final production release has been verified.

At Tiburon's option, Northgate Digital may provide any documentation, technical writing or software engineering required for post-delivery support. All source code written by Northgate Digital will be clearly commented and documented, and will adhere to Northgate Digital's code quality standards (standards available upon request).

Product delivery will be accompanied by a completed test suite report showing proper function has been verified on all target environments.



SERVICES & DELIVERABLES

Northgate Digital will provide and manage the resources necessary to design, build, deploy and maintain the E-Locker systems using an Agile development methodology on a time-and-materials basis.

Deliverables

	ITEM NAME / DESCRIPTION
01	Phase 1: Design
02	System Requirements and Architecture
03	Functional Specification
04	Project Plan and Timeline for Development
05	User Experience Design
06	Phase 2: Initial Launch (November)
07	Production Kiosk
08	Production Administration Portal
09	Production Tiburon Server
10	Phase 2: Maintenance Release (Post-November, Optional)
11	Remaining non-essential functionality
12	Phase 2: Mobile Web Application
13	Mobile Web Application
14	Quality Assurance
15	Completed Test Matrix
16	Performance Test Results
17	Security Scanning Test Results
18	Deployment to Staging and Production Environments
<u>19</u>	<u>Minimum of three product installations / setups</u>

Phase 1: Design

System Requirements & Architecture

To provide Tiburon with the most control over development timeline and cost, reduce schedule risk, and ensure all development is performed in support of business needs, Northgate Digital begins the project by identifying system requirements and creating the system architecture. As part of this system architecture, key project requirements and acceptance criteria are identified and documented as small statements of functionality known as "user stories", which are logged in a collaborative project planning system. Our team reviews all existing documentation for third-party APIs and integration points to identify any potential technology or schedule risks.

Project Plan for Development

When the system architecture is complete and the user stories (features and requirements) are finalized, Northgate Digital enters an initial list of tasks and



SERVICES & DELIVERABLES (CONTINUED)

features into a tracking system known as the "product queue". Each task and feature in the queue will be estimated at a high level and prioritized in order of business importance to Tiburon.

The estimates in this proposal are preliminary, based on a review of the provided request for proposal. In a joint planning session, Northgate Digital and Tiburon will work together to create a development plan that meets Tiburon's functional requirements within their budget and timeline constraints. After Tiburon approves the proposed product plan and revised estimate, it will be managed in a web-based project management tool (see "Product Queue" above) to which Tiburon will have access.

The overall product plan is maintained in Microsoft Project to coordinate external task dependencies and separate tracks, for example to ensure proper timing of marketing initiatives or third-party system integration.

User Experience Design

For each kiosk interface and web application, Northgate Digital will work in conjunction with Tiburon to produce a series of application wireframes and final designs ("comps") for each user interface. All original design assets will be delivered to Tiburon in layered PSD format so that they may be edited or modified by any other design firm.

Phase 2: Development

Development will take place on the server and kiosk system simultaneously by different developers in order to compress the development timeline. To meet tight deadline requirements, the system will be developed in stages starting with an initial product launch in November, 2014.

Initial Launch, November

A version of the Kiosk software and administration panel is created that is as feature-complete as possible for production launch. The system will include at a minimum:

- **Customer User Interface**
The complete customer user interface is developed and can be deployed for production use. Some non-essential administrative features may be deferred to a subsequent maintenance release.
- **Hardware Integration**
The system will integrate with the locker units, card reader, bill acceptor and receipt printer for full system operation.
- **Admin Panel**
The Tiburon admin panel will be created and will have all essential functionality for the initial launch. Some non-essential functionality may be deferred to a subsequent maintenance release.



SERVICES & DELIVERABLES (CONTINUED)

Maintenance Release, Post-November

After the initial launch, an updated version of the Kiosk software and administration panel may optionally be created to complete any remaining non-essential features requested by Tiburon. These features may include:

- **Reports**
Reports are added such as field tech user, time and records. Reports may include export to Excel / PDF capability.
- **Additional Administrative Functionality**
Some non-essential admin functionality may be added during a maintenance release.

Mobile Web Application

A responsive mobile web application is created for customers to interact with lockers/rentals via their mobile smartphones or tablets.

SERVICES & DELIVERABLES (CONTINUED)

System Testing

Once development of all features prioritized for the initial release is complete, the finished system will be end-to-end tested using a combination of manual (step-by-step) test cases and automated testing tools such as Selenium.

Performance Testing

Performance requirements for the system such as page render times and system capacity will be determined with Tiburon during the design phase. Once development is complete, the system will be performance tested under load to determine baseline capacity and page response times, to make sure both are within acceptable limits and meet the performance requirements. If performance bottlenecks are identified, they will be resolved prior to delivery.

Browser/Device Testing

All web applications will be accessible via current versions of every major browser including Safari, Firefox, Chrome and Internet Explorer. The generated HTML5 pages will be cross-browser tested on all major browsers and versions to ensure content displays correctly on all current browser versions. Mobile app testing will include validating responsive design on Android and iOS tablets and smartphones.

Deployment and Acceptance Testing

As a final quality assurance step, the system is deployed to the future production environment, and Tiburon is given the opportunity to review the final system in its entirety. Any defects or issues are logged and resolved, and the system is placed into production use once all issues deemed by Tiburon to be "mission-critical" have been resolved, and Tiburon provides approval of the system.

Product Installation / Setup

Northgate Digital will assist Tiburon with a minimum of three product installations and setup, including on-site assistance. Any travel expenses associated with product installations or setup must be approved by Tiburon in advance, and those approved expenses will be included as separate billable entries on the monthly service invoice.



PRICING & TIMELINE

Engineering Resources

All application engineering services (including Programming, Project Management, Graphic Design, Quality Assurance) for the Tiburon system will be performed on a time-and-materials basis according to the following rates.

Unlike traditional software vendors, Northgate Digital provides additional senior-level system architects to program alongside software developers at no additional charge. This "pair-programming" model helps ensure maximum efficiency and quality of the work product, and provides additional engineering hours to our clients at no additional charge. Each system architect has at least 12 years of software system design and engineering experience, and is paired with up to four developers to provide programming assistance and oversight.

Every full-time monthly engineering resource provided by Northgate Digital is inclusive of 25% additional hours provided by the System Architect.

Hourly (Part-Time) Rates

Staff working part-time (less than 168 hours in a month) are billed at the following hourly rates, and any associated System Architect hours are billed separately.

RESOURCE	EXPERIENCE LEVEL	HOURLY
Senior DevOps Engineer: PHP, Linux, Apache, MySQL	7 to 10 years	\$95
System Architect	12+ years	\$95
Graphic Designer / Information Architect	5 to 7 years	\$95
Project Manager	5 to 7 years	\$85
Quality Assurance Analyst	3 to 7 years	\$55

Monthly (Full-Time) Rates

For additional cost reductions, software engineers working full-time (168 hours or more in a month) are billed at the following flat monthly rates. The monthly rate for each resource includes up to 40 hours per month of a System Architect at no additional charge, for a total of up to 210 engineering hours per month, per resource.

RESOURCE	EXPERIENCE LEVEL	MONTHLY
Off-shore Software Engineer	5 to 7 years	\$12,400
Senior DevOps Engineer	7 to 10 years	\$16,400



Support Services

PRICING & TIMELINE (CONTINUED)

Supplemental development services, technical support, research and / or repair requiring services not listed above can be performed by Northgate Digital at its own facilities on an as-needed basis at the following hourly rates per resource, based on the requested service level:

PRIORITY	SERVICE LEVEL	MAX. RESPONSE TIME	HOURLY
Standard	Standard support / engineering	Within 72 hours	\$95
High	Emergency support or off-hours (6pm – 9am Mon-Fri, Weekends)	Within 20 minutes	\$135

For supplemental development or support efforts requiring more than two hours of services, Northgate Digital will provide an estimate to Tiburon for written or electronic approval prior to performing the work. This estimate will outline the approximate number of hours and cost projection to complete the work. The estimate will be as accurate as Northgate Digital can reasonably make it, and Northgate Digital will contact Tiburon if during the course of work it is determined that the estimate will be exceeded by more than 20%.



Project Timeline

PRICING & TIMELINE (CONTINUED)

The following example timeline is estimated to complete the Tiburon system. Actual timeline depends upon the complexity and number of features prioritized by Tiburon. The development plan and timeline will be finalized during the design phase.

	TASK	WEEK #
01	Executed Statement of Work	0
02	System Requirements & Architecture	4
03	Project Plan for Development	2
04	User Experience Designs	6
Design Phase Complete (est.)		Week 6
05	UI Demo (possibly to include hardware integration)	12
06	Initial Release: Kiosk / Admin Panel	18
07	Maintenance Release: Kiosk / Admin Panel	24
08	Mobile Web Application	28
Development Phase Complete (est.)		Week 28



PRICING & TIMELINE (CONTINUED)

Project Estimate

The following costs are estimated for each component of the Tiburon application. Actual costs depend upon the complexity and number of features prioritized by Tiburon, and remain in Tiburon's control throughout the project. The low and high estimates below represent the expected costs for a minimal and full feature set, and an average project will fall between these two price points.

	SERVICE / ITEM	LOW EST.	HIGH EST.
01	Phase 1: Design		
02	Requirements and System Architecture	\$3,000	\$4,000
03	User Experience Design	\$16,000	\$26,000
04	Phase 2: Development		
05	Initial Release: Kiosk / Admin Panel	\$95,000	\$125,000
05	Maintenance Release: Kiosk / Admin Panel	\$16,000	\$18,000
05	Mobile Web Application	\$16,000	\$24,000
06	Quality Assurance / Deployment		
07	System & Acceptance Testing	\$12,000	\$19,000
08	Production Deployment	\$7,000	\$10,000
	Estimated Total	\$165,000	\$226,000*

(\$195,000 +/- 15%)

* Total not to exceed \$226,000 without authorization in writing, see Terms & Conditions.

Payment Terms

Services are invoiced on the last business day of the month in which they are performed and deducted from Tiburon's retainer balance. A final invoice will be sent upon the completion of the project.



ROLES & RESPONSIBILITIES

To ensure the success of the engagement, **Northgate Digital** will provide the following:

- An Account Executive responsible for overall management of activities of Northgate Digital staff and serving as an administrative contact for the client.
- A Technical Representative responsible for ensuring successful implementation of all technical solutions, and serving as a technical contact for the client.

Tiburon will provide the following:

- A single point of contact to help Northgate Digital staff coordinate access to all required project materials and personnel.
- At least one 30-minute window each day for Northgate Digital staff to seek clarification on requirements, features, or change requests.
- Test devices / hardware necessary for validating proper function of the system.



TERMS & CONDITIONS

1. General Terms:

a. This agreement is supplemental to the Master Services Agreement between Tiburon and Northgate Digital. The Master Services Agreement will have control over any conflicts with this Statement of Work.

b. The terms specified in this Statement of Work are valid if signed before July 31, 2014. If the Statement of Work is executed after July 31, 2014, all terms will be subject to change.

c. Northgate Digital may take up to three weeks from the date this Statement of Work is executed for staffing prior to beginning work on the project.

2. Time Period of Performance

The time period of performance shall begin within three weeks of the date this Statement of Work is executed, and end at Tiburon's request. Northgate Digital shall provide services as requested at Northgate Digital's offices in Philadelphia, PA, Atlanta, GA, Dallas, TX and Buenos Aires, AR.

3. Project Cost

Total cost for the finished system components depends upon the requirements and business priority for each component as defined by Tiburon. Because these requirements and priorities will remain flexible and may be changed by Tiburon at any time, this statement of work does not represent a fixed-cost guarantee.

Notwithstanding the above, total cost for the services provided in this agreement shall not exceed \$226,000 USD without separate authorization in writing from Tiburon. Any additional services, if deemed necessary by Tiburon, will be provided under a separate signed Statement of Work (SOW) or Service Level Agreement (SLA) between Northgate Digital and Tiburon, which will be considered as an addendum to this agreement.

4. Project Completion

Tiburon shall have the sole right to accept work in whole and in part whereas to deem them completed or work that needs to be redone or otherwise incomplete.

5. Elastic Clause

To facilitate an expeditious start to the project it is agreed that rather than relying solely on the SOW for depth and breadth of scope, features or functions in the RFP (Exhibit A) of the administration software, ride locker software, Charge Daddy software, and legacy day locker software shall be deemed to be in scope. Tiburon shall have the right at its choosing to include any of the features and functions that were omitted from the SOW which is to be understood as an outline. Tiburon will not unreasonably require work to be done that isn't of practical or tangible value from the RFP. Tiburon understands that this elastic definition of scope may alter the timeline and cost required to deliver the final product if any features are added that are outside of the scope of the RFP documents (Exhibit A).

6. Representations and warranties

It is understood that Northgate Digital affirms its abilities to execute the project in the timelines referenced and to a quality standard as to be agreeable to the average person. For a period of six months following final product delivery, any logic flaws ("bugs") caused by a Northgate Digital programmer error that are present in the final product will be repaired by Northgate Digital at no charge to Tiburon.

7. Accountability of Hours

It is agreed that a system of tracking and reporting the; hours worked, rates, work done in said period as well as by whom shall be accessible at all times to Tiburon.

Seth Jaslow 7/23/14 11:31 AM

Comment [1]: Note that this sentence was added by NGD

Seth Jaslow 7/23/14 11:31 AM

Comment [2]: Note the addition of our guarantee to fix bugs free of charge.



TERMS & CONDITIONS (CONTINUED)

Tiburon has the right to approve the estimated hours for each individual task on this project in advance of the provision of services. A weekly report of hours worked by person and a summary of burn rate to be submitted to Tiburon on each Monday during the course of the project.



SIGNATURES

This statement of work is acknowledged and agreed by:

Tiburon

AUTHORIZED SIGNATURE

ABOVE NAME PRINTED

TITLE

DATE

Northgate Digital

AUTHORIZED SIGNATURE

ABOVE NAME PRINTED

TITLE

DATE



ABOUT NORTHGATE DIGITAL

Northgate Digital Corporation is a US-based company providing managed application services to customers across a wide range of industry verticals. Founded in 2002, the firm leverages partnerships with recruitment agencies, technology vendors, and employs subject matter experts worldwide to provide services in a broad array of technologies and platforms.

Northgate Digital specializes in high-volume web, mobile, SAAS and embedded applications, delivering solutions using an iterative, Agile development lifecycle. Our firm is fully insured and has a proven history of on-time and on-budget delivery since our inception.

To provide the fastest time-to-market at the highest level of quality, we use a unique iterative development methodology based on industry best practices for change management. These practices include requirements traceability, documented change control, and phase gates to ensure we provide accurate quotes up front yet remain highly flexible to changing business needs. This iterative approach translates directly to faster time-to-market and reduced development cost for all of our clients.

Our Philosophy

Since Northgate Digital is a smaller, referral-based company where the founders are intimately involved in each client engagement, our philosophy is to be perfectionists in everything we do. We make sure that we exceed expectations from a creative and technical perspective, and most importantly from a relationship perspective. Taking a hands-on and personal approach with all of our clients allows us to be much more responsive and flexible than competing outsourcing firms.

Our Capabilities

Northgate Digital's core competencies are in the high-volume web, mobile and embedded technology spaces. Our technical knowledge and experience spans a broad range of systems and technologies including such server-side technologies as .NET, Java, C, C++, PHP, SQL, and all major RDBMS and operating systems. Client-side technology expertise includes HTML, CSS, JavaScript, JQuery, PhoneGap, Titanium, Flash/Flex, AJAX, Java FX and Silverlight. Our company size fluctuates with demand, averaging to 22 technical staff members in 2013.

In addition to programming capabilities, Northgate Digital also offers managed hosting and application delivery services, including 24-hour monitoring and server support, security upgrades, automated backups, PCI and Sarbanes-Oxley compliance.